

Luke Miller

Domestic and International Impacts of the United States' H1-B Visa Program

Global Concentration: Sustainable Development

Course Title: Econ 1700 Proseminar Methodology of Economics

Term: 2171

This paper has met the requirements of the Global Studies Capstone: _____

Domestic and International Impacts of the United States H1-B Visa Program

Introduction and Uses

The United States' H1-B visa program was first introduced as a part of the Immigration Act of 1990 under President George H.W. Bush with the objective of filling job vacancies which the United States did not have the immediate capacity to fill. Specifically it was directed towards the fields of Science, Technology, Engineering, and Medicine (STEM). The H1-B visa acts explicitly as a temporary visa connecting an employer prior to a highly skilled worker abroad. There has been much speculation as to the effect of the visa on the American worker given recent testimony from a Disney employee who claimed that the program was used as a cheap alternative to U.S. labor. However, the general consensus is that this was an abuse of the program rather than a systematic problem within the program, and Disney is currently under investigation for collusion.¹ However, this incident left questions as to the usefulness and effectiveness of the H1-B program. Many wonder if the H1-B may take jobs from the American employee while others deem it necessary to fill job vacancies for companies on the cusp of innovation. Given the rising interest in H1-B reforms, it is important to identify the impacts of the H1-B visa on the domestic worker and the economy. But also, as one of the most developed and influential economies, the impacts of the H1-B Visa on international workers and economies should be considered as well.

Impact of the H1-B Visa

The first question of the H1-B Visa's validity and contribution to the success of the United States can be settled by determining whether an applicant is "unique." If somebody can do the same job

¹ NYTimes

for less, it becomes clear that they are only a cheaper alternative to the U.S. worker. The H1-B program is well established. However, it is difficult to see the effects of trends as the visa deals with constantly emerging industries. But, if there are job vacancies requiring skilled labor that remain unfilled that is an indication of the need. Even during the worst years of the Great Recession, from 2009 to 2011, 1.9 STEM jobs were posted online for every unemployed STEM worker looking for work in the United States.² The demand for highly skilled labor is undeniable, but the supply of STEM employees is questionable. Economists such as Norm Matloff insist that the STEM shortage is non-existent.³ However, the claim is based on the interpretation of STEM graduates and what constitutes using a degree in STEM. Under many definitions, social science degrees can be considered STEM degrees, inflating the number of graduates. Similarly, jobs requiring STEM degrees which use the degree in a subfield are not included. (i.e., 20% of STEM graduates were working managerial positions)⁴ Such numbers would exaggerate native STEM unemployment, suggesting more STEM graduates in fewer jobs.

As of 2017, the H1-B quota is set at 65,000 with 20,000 set aside for foreign born graduate students. From the year 2014 to 2017, the visa allotment had been reached within the first 5 days applications were made available. The American Immigration Council believes that having restricted visa allotment from 195,000 in 2003 to 65,000 in 2004 has bound our economic growth and estimates 1.3 million new jobs could have been created.⁵ In fact, many other policy-makers and researchers have supported the claim that these workers create new jobs rather than crowd out employment.⁶ The belief is that such highly skilled workers do not take from each

² Compete America 10

³ Matloff

⁴ Compete America 13

⁵ American Immigration Council

⁶ Gates Foundation 2008

other but rather increase productivity by agglomeration effect and innovation. The National Foundation for American Policy stated that more than half of all United States' billion dollar technology startups are founded by high skilled immigrants.

Unlike unskilled migrant labor in labor-intensive industries, the effect of the H1-B temporary immigrants on wages remains inconclusive. Unskilled immigrant laborers are willing to work jobs that Americans will do for a smaller wage, thus increasing competition among unskilled laborers. If the highly skilled immigrants are truly “unique,” this should be opposite. The prevailing wage to be paid for H1B workers is set by the U.S. government and attested to by each company, but economist Norm Matloff holds that wages are about 20% lower than market value.⁷ In contrast, a presentation by the U.S. Chamber of Commerce found wages were not only higher, but that a 1% increase in H1-B workers per company led to a 4-6% increase in the wage of the native worker in the same firm.⁸ One unavoidable consequence in evaluating wage for a “uniquely” skilled individual is that they cannot be equated to others. That is why they are “unique,” thus wages can be ambiguous.

Given the uncertainty of the wages received by the temporary immigrants, a solution to possible negative wage impact could be to strip power from the employer and to give power to the visa holders. Currently, an H1-B ties a temporary immigrant to a specific company, giving them complete control over wage of the employee. By allowing the employee to pursue other offers, there could be a positive effect on immigrant wages, thus keeping them from undercutting United States workers. Additionally, this could potentially substantiate claims on the effect of wage. Should their wages decrease, they may not be “uniquely” skilled. Other benefits could

⁷ Matloff

⁸ Compete America

accrue from this competition as well. As is, the system has been likened to indentured servitude. Being tied to a company prevents not only wage competition but should a company terminate your contract, they terminate your visa as well. Therefore, it could potentially lead to unfair treatment of their employees. The I-squared Act introduced in 2015 proposed a 60 day period to find a new company to work for, creating some wage competition for the employee. The bill also gave opportunity for spousal employment and other benefits for the visa holder. To date, this bill has not been passed.

International Competition

These arguments are not unique to the United States as many developed countries are shaping their own temporary programs according to how the United States shapes our own. A key concept brought up in the debate over the H1B visa's usefulness is whether changes to our system have and will continue to limit our ability to draw the "best" applicants. There is always another Silicon Valley emerging. The Chinese city of Zhongguancun has emerged as a strong competitor to Silicon Valley in the technology sector and that competition is now extending to the competition for skilled workers. "According to the Beijing-based think tank Centre for China and Globalisation, about 284,700 students headed overseas to study in 2010, while about 108,300 returned for work – less than 40 per cent. Last year, 459,800 headed out, while about 364,800 came back – a return rate of 79 per cent."⁹ Although these returnees are not specifically from the United States other research has shown similar trends. By analyzing LinkedIn data and the recruitment of skilled labor, "Migration of Professionals to the U.S" finds that the United States is beginning to lose its ability to attract workers.¹⁰

⁹ Lau

¹⁰ State, Rodriguez, Helbing, Zagheni

Ethical Considerations

There are ethical dilemmas to be considered in reference to the H1B visas as well. Firstly, some may argue that the recruitment of the highly skilled from developing countries contributes to their brain drain and thus their difficulties in development. The issue may not be viewed favorably in a humanitarian sense, but it is a consequence of capitalism and international competition. It should be imperative that the United States, as one of the largest economies in the world, understands how its policy impacts on the rest of the world. To what extent is the United States responsible for aiding in the development of Less-Developed countries in the world as a world power? And to what extent has competitive mindset in terms of recruitment of skilled labor contributed to the continued struggles of these nations? Such questions are subject to personal value and one's own philosophical values.¹¹ One political philosophy is to put competition first and to invest in ourselves. The United States has to care for the United States and leave other countries to fend for themselves. Some would also argue that remittances sent back from workers in the United States serve as our repayment for their labor – especially given that value of the U.S. dollar is often much higher than in the developing country. However, there has also been a trending desire towards a more equal distribution of wealth, labor and knowledge across borders as is emphasized by the millennium goals for economic development.¹² This is an emerging philosophy on international relations that should be expected to become more visible in the policy of future generations.

Among the strongest arguments to favor the increased use of the H1B visa, is that a skilled worker with an H1-B Visa from an impoverished country could be granted the

¹¹ Brock, Blake

¹² United Nations Foundation

opportunity to flourish among those of similar skillsets and that there could be a shared benefit from the advantages of agglomeration effect. Additionally, being that these visas are designed to be temporary, the employee often returns to his home country with greater experience. So, it could be argued that we are “renting” workers from less developed economies and returning a more experienced worker. Studies on the Indian Software firms have suggested that Indian firms who temporarily lost their workers to temporary visas from the most developed nations have many times benefited from this “rental” ideology.¹³ However, to this point, this paper has referred to H1B visas and Skilled workers in a general sense. To understand the extensive impacts of the Brain Drain, it is important to differentiate Capped and Uncapped visas.

Capped H1B visas tend to be more controversial in terms of job competition in the United States. Uncapped H1B visas often receive little attention from local entities, but have devastating impacts internationally. This is because they are reserved for fields that are undeniably useful to the well-being of the United States. These include medical personnel, academic researchers, and some non-profit workers. This would be the future doctors, nurses, skilled politicians, and people prepared to make significant impact on the health and future of their respective countries. Specifically, the medical field is the most heavily impacted by the Brain Drain, and few countries have seen greater impact than in Sub-Saharan Africa. A recent poll showed that 41% of nurses migrating to the United States from these areas were actively recruited. By the United Nation’s International Convention on the Protection of the Rights of All Migrant Workers and Members of Their Families (Art. 1), workers are granted the right to leave and enter their state of origin. As such, it becomes difficult for an individual's home country to

¹³ Commander, Chanda, Kangasniemi, Winters

intervene in the recruitment of their skilled workers from abroad.¹⁴ Efforts to combat recruitment of workers in limited fields, such as the WHO's Global Code of Practice on the International Recruitment of Health Personnel in 2011 have been adopted by 193 nations, but this code remains a voluntary ethical code. As evidence by the recruitment of nurses, this code is treated as optional. However, it would be foolhardy to think that recruitment of skilled healthcare workers is the sole cause of the health care Brain Drain. Other contributors, both the pull and push factors of these migrants, are in many ways inevitable. Push factors arising from a lack of infrastructure, high stress environment, low payment, and risk of disease combine with pull factors of political stability and higher wages to make the United States as well as other developed countries an unmistakably more attractive place of employment. For many of these reasons, in Zimbabwe, of 1200 physicians trained between 1990 and 2001, only 360 remained in the country in 2006.¹⁵ Since the United States cannot control either of the Pull or Push factors on their own, they would only be able to cap the Visas extended to these migrants as a solution to the Brain Drain.

Figure 4: Monthly wages for nurses and doctors in source v. destination countries (Connell et al. 2007)

Country	Average monthly wage (US \$)	
	Nurses	Doctors
Uganda	38	67
Sierra Leone	175	228
Ghana	206	473
Chad	425	1,050
South Africa	1,486	2,836
U.K.	2,576	7,676
Canada	2,812	8,472
U.S.	3,056	10,554

16

¹⁴ UNESCO

¹⁵ Taylor

¹⁶ Kissick

Unfortunately, due to the competitive nature of developed economies, these workers would likely be recruited or accepted elsewhere. Thus, while it is unexpected that changes to the uncapped section of the H1B visas would occur internally, future and binding agreements like that of the World Health Organizations' global code should be anticipated.

A second ethical dilemma pertaining specifically to capped H1B Visas arises from selective intervention by the government on the domestic market. The H1B program is one of the root causes of the tech industry's success. Technology companies campaign for higher H1B caps and maintain that these workers are essential to the success of the company. Therefore, those who receive the visa are more likely to succeed than those who do not. The governments' allocation of visas can determine the success and failures of individual firms. The debate is: to what degree the government should intervene in the private sector? The current policy is often cited as a bipartisan issue with regards to the program. The United States allocates their visas by lottery assignment in which a firm applies for a spot and is entered a chance to win a visa. As a result, firms who are capable of filing more applications have a greater probability of being granted workers. This process favors large corporations and is highly responsible for shaping Silicon Valley, California, the city home to Apple, Microsoft, AMD, and HP. Here, 37% of the residents and 75% of the area's tech workers are foreign born.¹⁷ Being an issue of bipartisan concern, this method of allocation is the area of the visa that is most likely to see significant change in the upcoming presidency. In an effort to see what type of reforms may be introduced and are available, we can examine how other developed countries have shaped their policy of allocation for temporary high skilled visas.

¹⁷ Washington Examiner

The United Kingdom allocates Visas on a tiered and point based system. Highly skilled workers are included under a section of their tier 2 visas, along with athletes and notable figures. Points are awarded based on English language ability, education, and other skills. Note that similar to the intentions of the proposed I-squared Act, while this system does require employment at a proper wage for the immigrant it does not require employment sponsorship. This was mentioned previously as a way of creating flexibility for workers and shaping an environment that will drive wages up while attracting more applicants. The United Kingdom does not currently have a cap restricting these types of visas. But, it is important to mention is that these visas are not currently required for European Union residents making the United Kingdom a very attractive option for E.U. residents.¹⁸ Although, future policy changes are inevitable due to the United Kingdom's impending exit from the E.U.. In these ways, the United Kingdom has a significantly more open policy towards accepting temporary workers.

Australia, on the other hand has taken an approach aligning with the current nationalist and populist sentiment in the United States; emphasizing employment to citizens. Prime Minister Malcolm Turnbull recently announced significant changes to their 457 temporary Visa which will be designed to target "genuine skill shortages."¹⁹ Although these changes have yet to be finalized, they intend to move from an uncapped program to a capped program which allocates Visas similarly to the United Kingdom's point based system.

While the "H-1B and L-1 Visa Reform Act" introduced by Senator Dick Durbin in 2017 continues the trend towards point based allocation of visas by the most competitive economies, some have proposed a radically different market based system. Ridhika Batra, US-head of the

¹⁸ WorkPermit

¹⁹ TheAustralian

Federation of Indian Chambers of Commerce and Industries has suggested that “Moving the allocation decision from an arbitrary process to a market-clearing auction should settle the debate over our economy’s demand for skilled immigrant labor, and an incremental success in our highly controversial immigration debate might help break the immigration reform impasse in other areas, as well.”²⁰ The auction based system would create a bidding war for workers among individual firms which would give fair opportunity to the recruitment of workers. Additionally, it would work to assure that all workers are being paid market value and are truly “unique” workers, while minimizing government intervention by selective and randomized visa issuance. Finally, depending on how the auction process would be applied, firms’ payments could either be distributed to the migrant workers – raising wages and thus the competitive status of the United States among other countries – or it could be distributed to programs to train future U.S. workers.

Importance of the H1B Visa

Despite the current selectivity and allocation concerns, it remains an essential piece of the United States’ economy as labor markets are notoriously sticky and the H1-B program can be very responsive to trends. Due to the United States’ lack of structural preparedness, retraining workers to work in STEM and creating new ones, is a lagged process. The 2012 Program for International Student Assessment rankings, ranked the U.S. as 31st in mathematics and 24th in science among 44 participating OECD countries.²¹ Arguments such as those by the NYU physicist Michiu Kaku suggest that since this is a systematic problem, the H1-B visa is the only thing keeping the U.S. innovative economy growing. The effects reach into graduate school enrollment, in Kaku’s physics department nearly all students are foreign born, many relying on

²⁰ TheHill

²¹ BusinessInsider

temporary student visas.²² Without H1-B visas, these students will have occupied seats in U.S. classes that could have gone to citizens, and will have to take their knowledge elsewhere upon graduation.

Conclusion

Addressing the Brain Drain as a result of the Uncapped H1-B visas is important, but it must require the coordination of an international organization to effectively combat the issue.

However, assuming that visas are assured to give only temporary status, the Brain Drain should remain unaffected by the Capped H1-B Visa. Therefore, the United States should not be afraid to increase its cap for H1-B visas for fear of further advancing the Brain Drain in Less Developed Countries. Bill gates has requested an unlimited number of H1-B visas from congress, and the suggestion is radically different than what the United States currently has implemented. By making an unlimited number of visas available, the nation would have a much more competitive standing in the world, but also in our own labor markets. However, by implementing an auction based approach, the United States could avoid negatively impacting the United States' own workforce while remaining an attractive option for skilled foreign labor. Since these H1-B workers are "uniquely" skilled and creating new jobs, then we want as many of them here as we can. Additionally, these changes would allow workers to send greater remittances to Less Developed Countries while still returning the worker years later. The United States has always fought for free market and capitalist principles, thus accepting competition. Our unwillingness to offer a competitive wage, to provide opportunities to the worker and to retain U.S. educated students has begun hindering our ability to attract these minds. Technology hubs similar to Silicon Valley are developing in cities like Berlin, Germany and Toronto, Canada, courting the

²² Kaku

Luke Miller

skilled worker rather than limiting them. Until the United States is capable of producing our own highly skilled workers, it is imperative that we continue to accept others.

Works Cited

- Anna_giaritelli. "37 Percent of Silicon Valley Foreign-born." *Washington Examiner*. 2016. Accessed November 14, 2016. <http://www.washingtonexaminer.com/37-percent-of-silicon-valley-foreign-born/article/2583195>.
- Baxendale, Rachel. "457 Visa Program Axed by Malcolm Turnbull." *TheAustralian*. N.p., 18 Apr. 2017. Web.
- Brock, Gillian, and Michael Blake. "Global Justice and the Brain Drain." *Ethics and Global Politics* 9.1 (2016): n. pag. *Taylor Francis Online*. 17 Oct. 2016. Web.
- Doran, Kirk, Alexander Gelber, and Adam Isen. "The Effects of High-Skilled Immigration Policy on Firms: Evidence from H-1B Visa Lotteries." 2014. doi:10.3386/w20668.
- Giovanetti, Tom. "Solving the H1B Visa Impasse." *TheHill*. N.p., 04 Feb. 2016. Web. 16 July 2017.
- "International Migration Convention." *International Migration Convention | United Nations Educational, Scientific and Cultural Organization*. N.p., n.d. Web. 16 July 2017.
- Kangasniemi, Mari. "Must Skilled Migration Be a Brain Drain? Evidence from the Indian Software Industry." *Academia.edu*. N.p., n.d. Web. 16 July 2017.
- Kissick. "Brain Drain Fact Sheet." *Stanford Medical* (n.d.): n. pag. *Med.stanford.edu*. 01 Jan. 2008. Web.
- Lau, Jessie. "Local Attraction: Young Chinese No Longer Staying Overseas after Graduating from Foreign Universities." *South China Morning Post*. N.p., 23 Sept. 2015. Web. 16 July 2017.
- Matloff, Norman. "Are Foreign Students the 'best and Brightest'?" *Economic Policy Institute*, February 28, 2013
- Preston, Julia. "Lawsuits Claim Disney Colluded to Replace U.S. Workers With Immigrants." *The New York Times*. 2016. Accessed November 14, 2016.
- SIMAY2K. "Michio Kaku Discusses H1B Visas and US Education System." YouTube. 2012. Accessed November 14, 2016. <http://www.youtube.com/watch?v=Qty1xqvQBrA>.
- U.S. Congress. Senate. Senate - Judiciary. I-Squared Act of 2015. 114th Cong. S. S. 153.

State, Bogdan, Mario Rodriguez, Dirk Helbing, and Emilio Zagheni. "Migration of Professionals to the U.S." *Lecture Notes in Computer Science Social Informatics*, 2014, 531-43. doi:10.1007/978-3-319-13734-6_37.

"The Millennium Development Goals." *United Nations Foundation*. N.p., n.d. Web. 16 July 2017.

Taylor, Allyn. "Stemming the Brain Drain - A WHO Global Code of Practice on International Recruitment of Health Personnel — NEJM." *New England Journal of Medicine*. N.p., n.d. Web. 16 July 2017.

"Temporary Work (Skilled) Visa (subclass 457)." *Department of Immigration and Border Protection*. N.p., n.d. Web. 16 July 2017.

"Tier 2 Visa for Skilled Workers." *Workpermit.com*. N.p., 09 Jan. 2017. Web. 16 July 2017.

Understanding and Improving the H-1B Visa Program. Issue brief. Renew Our Economy.

Weisenthal, Joe. "Here's The New Ranking Of Top Countries In Reading, Science, And Math." *Business Insider*. 2013. Accessed November 14, 2016. <http://www.businessinsider.com/pisa-rankings-2013-12>.